SUMMARY · MK 1 ORGANIZATIONAL BEHAVIOR & MANAGING PEOPLE · WEEK 4

Leadership — Art or Science?

What makes a good leader? The slides summarize eight classic HBR views, then six traits of excellent leaders from McKinsey's CEO Excellence. The case: how Satya Nadella transformed Microsoft's culture through a growth mindset.

Material

1 Eight HBR views on leadership

1. **Emotional intelligence (Goleman)** — self-awareness, self-regulation, motivation, empathy, social skill.
2. **Effectiveness (Drucker)** — ask "what needs to be done?", own decisions and communication.
3. **Adaptive (Kotter & Heifetz)** — management copes with complexity, leadership with change; adaptive problems require people themselves to change.
4. **Inspiring followers (Goffee & Jones)** — "Why should anyone be led by you?"
5. **Humility + professional will (Collins)** — the Level 5 leader.
6. **Forged by hardship (Bennis & Thomas)** — crucible experiences.
7. **Authentic (George et al.)** — learn from others, don't imitate.
8. **Incomplete (Ancona et al.)** — know your gaps and lean on others' strengths.

Art or science? **Both** — learnable frameworks applied through personality, context and experience.

2 Leadership styles: from traits to situational Deep dive

Traits → Behaviours → Situational → Transformational & strategic

Situational leadership: match style to readiness.

↕ Top: high supportive · bottom: low supportive

S3 Supporting
Able but unsure.

S2 Coaching
Willing but not yet able.

S4 Delegating
Able and willing.

S1 Directing
New and unable.

↔ Left: low directive · right: high directive

Situational leadership: directive vs supportive



Conceptual: the more ready the person, the less direction needed.

3 Six traits of excellent leaders (CEO Excellence, McKinsey) — "Be Bold"

1. **Purpose-driven** — authentic purpose can be strong strategy but can't be faked: do the right thing, then fight to find the business case.
2. **Giver (Adam Grant)** — genuinely being there for others.
3. **Mobilizing people (Jonah Berger)** — the right words help people listen, be persuaded and motivated.
4. **Orchestrator (Christian Busch)** — serendipity is seeing links others miss and combining them.

5. **Grit (Angela Duckworth)** — no shortcuts to excellence; staying in love with what you care about.
6. **Learner (David Epstein, *Range*)** — breadth and interdisciplinary thinking in a world pushing hyperspecialization.

4 Transactional vs transformational — and the Nadella lesson

Deep dive

Transactional

Targets ↔ rewards; maintains standards.

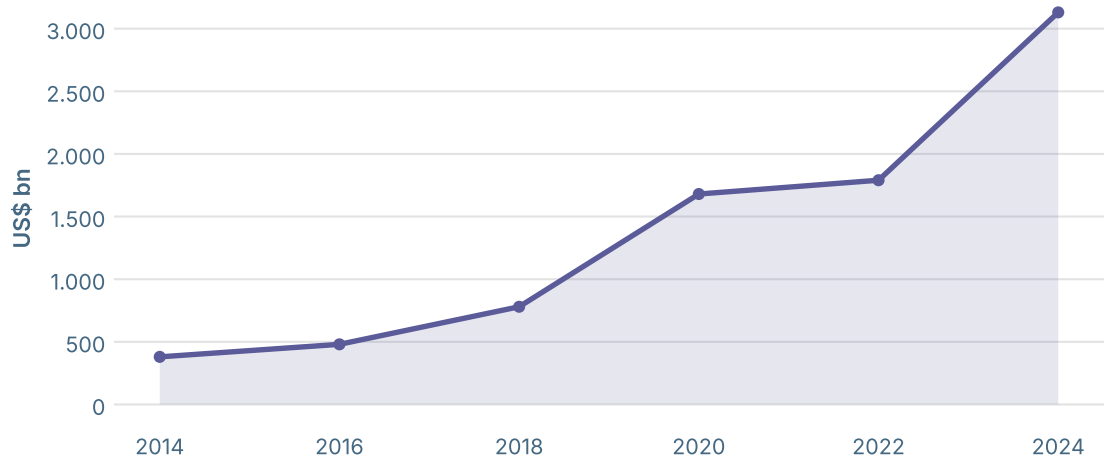
vs

Transformational

Vision, individual consideration, intellectual stimulation; drives change.

	Before 2014	Under Nadella
Mindset	Know-it-all	Learn-it-all
Reviews	Stack ranking	Removed; contribution to others
Strategy	Protect Windows	Cloud-first, partnerships

Microsoft market capitalisation (approx., US$ bn)



Rounded approximations to show direction; Nadella became CEO in February 2014.

Key takeaways

1. Leadership is both art and science.
2. Eight HBR views: EQ, effectiveness, adaptive, inspiring, humility+will, crucibles, authentic, incomplete.
3. Six CEO Excellence traits: purpose-driven, giver, mobilizer, orchestrator, grit, learner.
4. Culture changes through systems (rewards, reviews), not slogans.
5. Growth mindset: from know-it-all to learn-it-all.
6. Leaders model behavior most when they're wrong.
7. Middle managers are often the key — or the blocker — in transformation.

Case studies

Case & worked answers

Satya Nadella at Microsoft: instilling a growth mindset (LBS)

The "lost decade". Under Ballmer (2000–2014) Microsoft was highly profitable but its stock stagnated and culture decayed. **Stack ranking** forced roughly one in ten into a poor rating every six months, killing collaboration and rewarding politics. Bing and Zune lagged, talent left for Google, CEO approval was ~29% in 2011.

What Nadella did: listened first (hundreds of employees, anonymous focus groups); reframed the mission to empowering every person and organization to achieve more; adopted Dweck's **growth mindset** — from "know-it-alls" to "learn-it-alls" — with pillars of customer obsession, diversity & inclusion, and One Microsoft; built a leadership team that debates healthily; abolished stack ranking for continuous feedback and manager-held compensation budgets; made bold moves (Office on iOS, embracing Linux, LinkedIn); modeled owning mistakes (the women's pay remark; backing the Tay team).

Results (2018): ~$700bn market cap, ~95% approval, Azure widely used — but **middle management** was the missing link; culture change is slow and painful.

Theory links: EI/empathy (Goleman), humility + will (Collins), crucible (Bennis & Thomas), purpose/learner/orchestrator (CEO Excellence), Kerr's folly (W3) — Nadella fixed the reward system, not just the slogans; Four Drives — stack ranking destroyed bond and defend.

Reflect: what systems in your future organization quietly reward the opposite of stated values? How can you, as a middle manager, be the link that isn't missing?

Practice questions

Try answering first. The answer key is below each question.

1. A team member is able and willing. Best situational style...

A. Directing
B. Coaching
C. Supporting
D. Delegating

Answer: D. Fully ready → delegate.

2. A hallmark of transformational leadership is...

A. Trading targets for bonuses
B. Changing how people see work through vision and example
C. Leaving the team alone
D. Focus on punishment

Answer: B. It inspires and shifts mindsets.

3. A key cultural move by Nadella was...

A. Tightening stack ranking
B. Removing stack ranking and promoting growth mindset
C. Windows only
D. Fewer partnerships

Answer: B. Stack ranking bred internal politics.

4. A new, eager but unskilled employee needs...

A. Delegating
B. Directing/Coaching
C. Supporting only
D. Leave alone

Answer: B. Needs clear direction.

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5. Why does one style not always work?

A. Leaders are always wrong
B. Readiness and situations differ
C. Trait theory is right
D. Culture doesn't matter

Answer: B. The core of situational theory.

Sources

- Week 4 - Leadership (Student Version).pdf
- Satya Nadella at Microsoft; instilling a growth mindset.pdf